Course Outline Template

Indian Institute of Management Calcutta

Programme : MBA……

Name of the Course: **Treasury Management and Foreign Exchange Markets**

Core / Elective ……**Elective…**…….Cap (for Elective)…**40**…….

Credit: …**1.5….**

Academic Year & Term: …**2026-27 Term VI**

Course Coordinator: ……..

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Introduction to Course /Course Description

This course focuses on understanding the role and criticality of treasury function across Banks, NBFCs & non-financing firms. It then proceeds to delve deeper into foreign exchange markets, as foreign exchange risk is a module in treasury function which demands expertise in managing it. The split between treasury and foreign exchange market topic coverage by sessions is about 1:2.

Liquidity: Efficient funding-liquidity management, analysis-based cost optimization in market financing, managing investments with fine balancing of safety, liquidity & returns, and more importantly, identifying, analyzing and managing market risks with appropriately designed risk management policy are key sub-functions of a treasury. There are multiple dimensions in each of these, and a treasurer works towards providing strong support to the business and keeps an 'hawk's eye' on potential external shocks to insulate or minimize the impact on the firm. At the same time, work towards identification and monetization of market opportunities depending on the risk appetite.

Global balance sheet: Unique to Banks, the foreign operations to support globalization bring a heightened focus on their foreign exchange exposure and risk management as part of asset-liability management, which includes maintenance of nostro accounts in multiple foreign currencies. Also, most banks are active market makers in foreign exchange markets and enable efficient 'price discovery' of foreign exchange rates. This is a unique aspect which requires expertise and further, banks extend that expertise to corporate clients in risk management with an advisory team. Thus, this specialized function is considered as a highly lucrative business offering for banks, with a team of experts in the dealing room who enjoy "expertise-premium" with pay higher than the bank-wide average, normally.

Foreign Currency Borrowings: Non-banking finance companies in India have been permitted recently to tap external commercial borrowings and thus are required to build capabilities in managing foreign exchange risk thereon. In a globalized environment, the geographical boundaries fade in almost all aspects, more so on funding and fund management for non-financing entities. This brings criticality in understanding the functioning of the Foreign Exchange markets, which remain a niche area, even for the finance world, with fewer experts.

Topic complexities: The peculiarities and nuances in foreign exchange markets make the topic appear more complex, with different exchange rate regimes globally, unlike the other asset classes in financial markets. A bank treasurer, corporate risk manager or for that matter, a consultant, who has conceptual clarity on foreign exchange markets, its dynamics, its macro-economic adjustments, market functioning for forecasting, hedging instruments and risk management approaches, etc., is equipped to deliver a differentiated performance.

Course Approach- Intuitive and Practical: This course simplifies and yet provides a deeper understanding of global foreign exchange market, with specific focus on the emerging markets and India in particular, finely balancing between conceptual and practical aspects. To achieve this objective, the pedagogy includes lecture sessions, case studies, a fun-filled activity-based dealing room simulation by the students' role play as banks, corporate risk manager, regulator, etc., apart from group projects with carefully chosen topics that are current in nature and that also helps tracking market themes for further continued learning.

Welcome to the course if you are one who enjoys the collective thinking approach for conceptual learning in a simplistic way, with lesser technical aspects. The material used for discussion will be the primary source of learning while some of the chapters in suggested textbook(s) and articles/papers from IMF, BIS, RBI, etc., will be used for reference and further readings.

Course Objective and Key-takeaways from the course

By the end of the program, the students should be able to answer the following:

1. How does the treasurer organize the activity in front, middle and back office sub-functions in treasury, and what drives them?
2. What are the typical treasury assets and liabilities and what instruments are used to manage them?
3. How does one analyze the banking system liquidity for taking interest rate view and managing Interest Rate risk?
4. How monetary policy changes impact the banks and their functioning?
5. How global factors impact the local markets and how banks manage the same?
6. How corporate treasurers help their business manage the challenging environment with efficient treasury management?

7. What are the different Exchange Rate regimes in global Foreign Exchange (FX) markets and broadly how different economies manage orderliness in their FX market and design their policies embracing exchange rate dynamics?
8. What exactly happens in treasury dealing rooms in Banks and how 2-way FX prices are made by market makers?
9. Is there, and if so, what are the changing dynamics in fiat currencies in the light of emergence of crypto currencies and CBDCs?
10. How FX market experts form their views on currency movements and manage their risk?
11. How does one analyze the Balance of Payment statement and make forecasting for currency risk management?
12. How technical analysis work and what are the common tools used for effective trading, especially for intra-day activities of the banks and traders?
13. What are the key regulations governing FX activities in banks & corporates in India and in other larger markets?
14. How regulations and risk management activities influence each other?
15. What are the controls and measures taken to manage the Operational and Regulatory risk in a dealing room?

Programme Level Learning Goals (7)

Please map your course with Programme Level Goals **. Please list the learning goals along with specific objectives that are relevant for your course. The broad learning goals for the IIMC's MBA are listed below; choose the goal/s that are relevant for your course. In other words, even if you don't explicitly "teach" the topics listed below, it is likely that one or more of them are inherently addressed in your course. For example, if you encourage class participation or have presentations, the goal of "Ability to Articulate" would be relevant; if you cover global issues, the goal of "Acquiring Global perspective' would be relevant; if you require case analysis and case reports (be it teams, or individual students), the goal of "critical thinking & problem solving'' would be relevant; if you have any team-based assignment/s, the goal of " leadership qualities " would be relevant; and if ethics is covered in any form in the class, the goal of "acquiring ethical values " would be relevant. Mapping of course with Goals is a process of combining inputs & assessment.

Learning Goals

1. Possess state-of-the-art knowledge of theory and practice in all functional fields of management and the ability to think critically, and apply them to diagnose and find solutions to organizational problems, even in unfamiliar or uncertain situations

The course will provide the students with an in-depth knowledge on treasury function. Topics are designed to provide knowledge on how practically the treasury is managed.
The students will also be able to appreciate the treasury's role in managing the overall business and able to think of comprehensive solutions to organizational problems.
Being a dynamic topic, students will be required to connect with current events having bearing on financial markets, and thus be able to draw lessons on how businesses cope with the known factors on critical functions like treasury.

2. Develop and apply ethical values to analyse and solve organisational problems

The treasury function in a bank is considered as high-risk activity and building an "ethical culture" is the most effective mitigant. The topic will cover how high ethical standards are critical and are being adopted.

3. Develop a global perspective that is built upon knowledge of economic, technological, regulatory and political forces that are shaping a new international order in the 21st century

As the topic per se is a global topic, the discussions will cover global themes and the factors that impacts treasury function and foreign exchange market. The factors range from economic, political, socio-economic, regulatory, etc.,

4. Develop their capacity to articulate their thinking and ideas through verbal and written communications, at a professional (manager/consultant) level and to deliver the same

The in-class discussion, simulation exercises and project work will drive their learning to articulate and communicate at a professional level.

5. Be able to appreciate the dynamics of Information Technology acquisition and absorption by present day business organizations and develop ability to use modern IT enabled decision support tools for improved understanding of business
Topic will cover the new-age trends in the treasury functions which includes emergence of technology-based solutions provided for managing currency risk and cryptocurrency's emergence with its impact.

6. Acquire capacity to apply their professional knowledge and skills to diagnose and resolve business problems in actual organizational settings
Since the topic and contents covered are of dynamic in nature, there will be a natural learning of understanding how to assess the risks / problems and resolve through risk management.

7. Acquire the leadership qualities and the competence needed for leading organizational change
The group assignment is expected to get the students work together and drive the leadership qualities. Also, the understanding of how treasury function fits into the overall business and drives the business growth, will drive home the leadership qualities that the treasurer role demands.

Please note,

- A course can match multiple Goals
- A course might not meet **all the** objectives, please feel free to identify the objectives that a course might meet

** Earlier Course mapping has been provided in the reference document.

International Components in your course (if any)
Please add a paragraph identifying any international components of your course. This may include case studies or videos, group work across international boundaries etc.

Global economic scenarios in general and global foreign exchange markets in specific will be the international components covered in this course. This will provide the students with a good understanding of how the world of treasury functions in different geographies and how FX markets work in the developed and emerging markets.

Pre-requisites
Will need to have basic understanding of financial markets, fixed income securities and interest rates, foreign exchange, derivatives and banking.

Required Text Book(s)
Will be provided later.

Recommended Text Book(s)
Will be provided later.

Course Pack Distribution to students

Course material (if required) will also be issued from the Programme office.

Technology enabled learning component for your course
(You may include if required)
Simulation exercise will be partly a technology supported plan.

Session Plan

S No.	Topic	Intended learning outcome	References
1	Introduction to Financial Markets and Treasury • Overview of Financial markets and functions in a bank Scope and Functions of Treasury management • Objective and nature of Treasury Assets and Liabilities – in local and foreign currencies • Organizational structure • Functions & Responsibilities of Treasurer	Students should be able to understand Treasury functions, various sub-functions, challenges, and relevance of treasury function. Student should have basic understanding of banking	Will be suggested later.
2	Bank Treasury Operations • Liquidity management • Integrated Treasury function • Objectives, Funds Sources and Deployment & understanding implications of CRR, SLR, LCR, NSFR, etc., • Analysis of Treasury Instruments – and its application • Monetary policy framework and implication of system liquidity changes • Banking system liquidity – the driver, its influence in business decisions • Global Linkages and liquidity impact.	Students should be able to appreciate. • need for liquidity risk management. • dynamics in banking system liquidity and its drivers • how system liquidity drives decision making in credit • cost of statutory requirements to be priced in funding and other banking products Students should also have basic understanding of what monetary policy intends to address.	Suggested reading of the published minutes of latest meeting of a. RBI Monetary Policy committee https://www.rbi.org.in/scripts/Annualpolicy.aspx b. US Federal Reserve Open Market Committee https://www.federalreserve.gov/monetarypolicy/fomccalendars.htm
3	Corporate Treasury Management • Cash management & treasury function • Cash transfer, Cash forecasting, cash concentration • Working capital management • Financing – debt & equity management • Investment management • Risk Management policy in different types/sizes of companies	Students should be able to understand the role and purpose of treasury function in non-finance companies and how risk is managed. Expect students to have a basic understanding of treasury function and various heads in a non-banking company's balance-sheet for them to appreciate the treasury's scope.	Will be suggested later

4	Foreign Exchange Markets • Global FX markets evolution: Gold standard to digital currency • Exchange Rate Regimes • Comparing China-Singapore-India on Exchange Rate management approaches • Exchange Rate Price discovery and Drivers • Role of FX on Cross border trade • International arbitrage and interest rate parity mechanics	Students to acquire deeper understanding of how FX market function, globally and in India.	Material will be provided later which will include, papers and reports published by Central Banks, Supranational institutions for refence.
5	Exchange Rate forecasting • Analysis of quantitative and qualitative themes (dynamic content) • Carry trades, hedge biases and their implications. • Analyzing Central Bank's implied Exchange rate management policy by inferences from interventions. • FX Reserve building and its adequacy in Emerging Economies • Technical Analysis – introduction and sample	Students will be able to appreciate how a bank/FX traders analyze the market and take views for risk management. Students will understand how and why Central Banks build FX reserves (FXR). What level of FXR is adequate? This is a crucial module for getting a deeper understanding of the market dynamics, with specific focus on India FX market.	Material will be provided later which will include. Papers and reports published by Central Banks, Supranational institutions for refence.
6	Banks' FX dealing room. • Practical aspects of FX trading and mechanism • Market making and proprietary trading management. • How two-way quotes work and how used to offload position and manage liquidity concerns. • Overview of regulations and regulatory trends • Trading Function: spot/forward rates, FX Option desk – currency risk, managing correlation risk on cross currency options. • Exchange Trade Currency Derivatives (ETCD) and OTC market dynamics • Arbitrages and pricing in of liquidity and event risks • Research function: Analysis and forecasting of FX rates for proprietary and client advisory	Students will learn the activities and expectations of the FX desk in a bank both from the currency risk management and regulatory perspectives.	Material will be provided later
7	FX advisory in Banks • Objectives and drivers (credit risk linkages with market risk)	Students will gain understanding of the banks' advisory function, which supports corporates on FX & Interest rate management with	

	• Credit risk quantification and capital allocation • Client hedge solutions and risk management advisory • Rollup of client hedging activity into banks position and management • Risk management approaches by client category and solutions in practice • Client Suitability and Appropriateness (case study: India derivative litigations and regulatory responses) • Emerging trends in FX advisory function and Technology driven transformation of the function – trade services & treasury management, bots driven market information dissemination, hedge ratio monitoring and hedge triggers, etc.,)	their research, input for hedging decisions and hedge solutions that are more appropriate.	
8	Gamified Forex dealing room simulation	Students will acquire experiential learning through role plays as market markers, corporate hedgers, speculators & regulators. By quoting prices, managing FX positions along with the focus on P&L, students will gain a clearer picture of how FX markets function.	
9	Group Presentations	Group presentation topics will be highly relevant, mostly with current affairs impacting the FX markets, with the objective to gain deeper understanding and able to track and build knowledge further..	
10	Risk Management, Regulations and Controls • Operational risk and mitigants – operation risk framework with risk grading and reporting • Risk of fraud – case studies and discussion on past large instances of risk reporting suppressions • Internal & external audit, Regulatory supervision Discussion on Current Market Themes	Students will understand the need for managing risks beyond the market risks in the dealing room. Thus operational, regulatory, legal, etc., will need to be managed with policies, processes and controls. Case discussions on past large losses in bank dealing rooms will be helpful for the students to understand this module. Students will get initiated into understanding and tracking	Will be shared later.

	• FX markets trends and macro-economic outlook in major economies • Monetary policy and collective market anticipation of future trends expressed through swaps. • Key developments that can change FX market landscape (like INR internationalization, CBDC, etc.,)	current key themes and developments that drive the markets, to be able to form informed views on FX markets further. This session will enable students to get job-ready as well as prepare for further research in FX-related areas.	

** Faculty should endeavor to provide as much detail on session-wise topics / readings in the suggested format.

Evaluation Components

✓ Components	✓ Weightage
Quizzes (best 2 out of 3)	**20**
Group Projects	**20**
Final Exam	**60**

Online Course Management (moodle)/course web

This outline may be filled after reading the MBA Instructors Manual

Reference Document

Aim & Objectives of the Post Graduate Programme: The overall goal of the MBA is to produce world-class management professionals with a global perspective who are competent to lead and transform organisations anywhere in the world. . Our students would:

Learning Goals

1. **Possess state-of-the-art knowledge of theory and practice in all functional fields of management and the ability to think critically and apply them to diagnose and find solutions to organisational problems, even in unfamiliar or uncertain situations.**

Learning Objectives
Our students would be able to : a. Attain theoretical and practical understanding of the functions and processes involved in managing an organization b. Develop critical thinking ability through analytical treatment of important contemporary problems and issues c. Acquire the ability to design approaches and use relevant models and tools to analyse situations and solve practical business problems d. Acquire the ability to persuasively recommend managerial solutions issuing from the process of decision analysis applied on managerial situation/s e. Acquire the ability to present a structured analysis of managerial situation/s using various strands of interpretations

2. Develop and apply ethical values to analyse and solve organisational problems

Learning Objectives
Our students would be able to : a. Understand the realm of ethics (morality, values, ethos) and its importance to society

Learning Objectives
b. Understand the issues of ethical importance specific to the domain of business c. Understand the role of manager/leader as an ethical individual and as a professional d. Understand the need and importance of institutionalizing Ethics within the organization e. Develop an understanding of corporation's duty to all the stakeholders f. Acquire the ability to appreciate the necessity of ethical practices for sustainable growth and profitability

3. Develop a global perspective that is built upon knowledge of economic, technological, regulatory and political forces that are shaping a new international order in the 21st century

Learning Objectives
Our students would be able to : a. Familiarize with global factors/phenomenon affecting the business scenario b. Acquire the ability to understand and comprehend issues and practices prevalent in the international arena c. Develop competence in analysing changes in international and domestic environment d. Respond to such changes through appropriate organizational decisions

4. Develop their capacity to articulate their thinking and ideas through verbal and written communications, at a professional (manager/consultant) level and to deliver the same

Learning Objectives
Our students would be able to : a. Acquire the ability to organize the thought process b. Demonstrate understanding of main points c. Acquire the ability to articulate the findings in a coherent and structured format to build a managerial case analysis d. Acquire the ability to customize messages/ solutions for diverse managerial situations e. Acquire the ability to deliver a professional quality formal presentation by exhibiting clarity and appropriate pace, coherent structure, credibility, effective use of visual aids, appropriate body language

5. Be able to appreciate the dynamics of Information Technology acquisition and absorption by present day business organizations and develop ability to use modern IT enabled decision support tools for improved understanding of business

Learning Objectives
Our students would be able to : a. Acquire the ability to learn various IT-enabled analytical tools , techniques and methods for solving problems b. Acquire familiarity of methods for comparing different state-of-the-art computing platforms c. Acquire the ability to use appropriate analytical techniques in a case setting to identify possibilities of deploying Information Technology for competitive advantage d. Acquire competence in use of IT tools in modelling managerial decision making situations

6. Acquire capacity to apply their professional knowledge and skills to diagnose and resolve business problems in actual organizational settings

Learning Objectives
Our students would be able to : a. Acquire the ability to identify organizational problems in both real life settings and through simulated situations b. Acquire the ability to interpret and apply knowledge of concepts c. Acquire the ability to design appropriate responses to solve identified problems by using appropriate tools, techniques & framework taught in courses d. Acquire the ability to apply structured analytical thinking to solve an organizational problem

7. Acquire the leadership qualities and the competence needed for leading organizational change

Learning Objectives
Our students would be able to : a. Understand the theories of leadership b. Understand the theories of organizational change c. Demonstrate understanding of complex human issues arising from the implementation of change d. Understand individuals' and groups' behaviour and motivation

Course Mapping (based on earlier data)

Goal 1	Goal 2	Goal 3	Goal 4	Goal 5	Goal 6	Goal 7
Critical Thinking	Acquiring Ethical Values	Acquiring Global Perspective	Ability to Articulate	Technological Competencies	Problem Solving	Leadership Qualities
Corporate Financial Reporting and Analysis	Human Resource Management	Marketing Management I	Managerial Communication –I	Operations Research	Organisational Behaviour- II	Risk Management
Marketing Management I	Business Ethics	Environment & Development	Managerial Communication –II	Information Technology and Systems		Strategic Management
Microeconomics		Marketing Management II				Organizational Behaviour- I
Statistics for Management						
Operations Research						
Cost Management						
Corporate Finance						
Production and Operations Management						
Indian Social Structure						
India and the World Economy						
Indian Legal System						
Macroeconomics						
Indian Economic and Political History						

Hypothetical Example of mapping for Operations Research with Programme Level Goals

Goal 1	Goal 2	Goal 3	Goal 4	Goal 5	Goal 6	Goal 7
Critical Thinking a, b, c, d, e	Acquiring Ethical Values a, b ,c ,d, e ,f	Acquiring Global Perspective a, b, c, d,	Ability to Articulate a, b, c, d, e	Technological Competencies a, b, c, d,	Problem Solving a, b, c, d,	Leadership Qualities a, b, c, d,
Operations Research (a,b,c,d,e)					Operations Research (a,b,c,)	

Please note,

- This is hypothetically done just to provide an example
- A course can match multiple Goals
- A course might not meet **all the** objectives, please feel free to identify the objectives that a course might meet